

CHASE BANK LISTS CREDIT PLAN GAIN

Report Shows Benefits to Merchants Honoring Its Store Charge Cards

The Chase Manhattan Bank reported yesterday that its retail charge credit plan, now eight months old, had 5,000 merchant members with about 5,700 stores. Some 300,000 customers hold credit cards under the plan.

Clinton W. Schwer, vice president, said the average sales volume for the third quarter was expected to be more than \$1,000,000 a month.

Men's and women's wear stores, Mr. Schwer said, have produced the greatest volume of sales under the plan. Department stores, household goods stores and jewelry, appliance and shoe stores have been other important users.

Use of the Chase Manhattan Credit Plan, Mr. Schwer said, has tended to increase average sales for "practically every" merchant member. A ladies' variety store's average cash sale during the first six months, he noted, was \$4.50. During the same period, he said, the store made about 1,000 sales under the plan. These averaged \$13.95. A small department store's cash sale average was \$5.86. By using the credit plan, it increased the average on about 1,000 sales to \$21.83.

New Accounts Gained

Mr. Schwer said 40 per cent of the merchants who joined the plan in the first quarter represented new accounts for the bank.

He noted that the bank recently had added a method whereby credit card holders can pay automobile, casualty and fire insurance premiums under the plan. Insurance brokers or agents have card holders sign a sales slip for the amount of the insurance premium. The holder is billed at the end of the month for the premium as well as other purchases made during the period.

The plan also has been extended to optometrists, Mr. Schwer said.

In another report, the Chase Manhattan said its savings deposits had increased \$29,000,000, or 6 per cent to \$529,000,000 during the first six months of 1959. A year before, they were \$461,000,000.

The bank said the number of depositors increased from 343,198 to 354,603 and the average balance for each account from \$1.374 to \$1,480 during the 1959 first half.